AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI EXAMINATION

APRIL/ MAY 2019

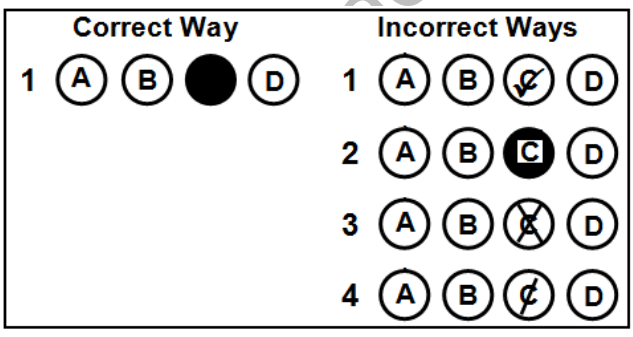
Principles of Accounting Paper I

Time: 45 minutes Marks: 30

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 30 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. Ahmed started his business by investing Rs 50,000 cash, building worth Rs 300,000 and merchandise valued Rs 25,000.

   The amount of Ahmed's capital in the business would be

   A. Rs 300,000
   B. Rs 325,000
   C. Rs 350,000
   D. Rs 375,000

2. All of the following are the objectives of book keeping EXCEPT

   A. making permanent records.
   B. preparing financial statements.
   C. classifying business transactions.
   D. identifying events and transactions.

3. According to rules of debit and credit, the CORRECT action would be that

   A. increase in asset would be debited.
   B. decrease in liability would be credited.
   C. increase in drawing would be credited.
   D. decrease in expenses would be debited.

4. The following purchases were recorded in the books of Al-Falah Traders.

   I. Metal detector for the store Rs 10,000
   II. Weighing machine for the store Rs 50,000
   III. Machinery part replaced, due to employee negligence for Rs 15,000
   IV. Oil and lubricants for the pulley and weighing machine Rs 25,000

   The expenditures that would be classified as revenue expenditures by Al-Falah Traders are

   A. I and II.
   B. II and III.
   C. II and IV.
   D. III and IV.

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5. The following records have been extracted from the books of Wasay Chemicals.

Account Title	Amount (Rs)
Cash	75,000
Account receivable	150,000
Fixtures and furniture	450,000
Computers	250,000
Merchandise inventory	80,000
Supplies	20,000

The amount of current assets for Wasay Chemicals from the given information would be

A. Rs 305,000
B. Rs 325,000
C. Rs 375,000
D. Rs 700,000

6. Which of the following account heads will be considered as 'Liability'?

I. Advance from the customers
II. Advance to supplier
III. Prepaid expenses
IV. Unearned income

A. I and II
B. I and IV
C. II and III
D. III and IV

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7. The following details have been taken from the books of Abbas Sons as on December 31, 2017.

Account Title	Amount (Rs)
Bank overdraft	23,000
Merchandise inventory	77,000
Long term loan	300,000
Capital	442,000
Equipment	480,000
Allowance (provision) for depreciation on equipment	88,000
Furniture	240,000
Allowance (provision) for depreciation on furniture	12,000
Trade receivables (accounts receivable)	145,000
Allowance (provision) for doubtful (bad) debts	32,000
Trade payables (accounts payable)	38,000
Purchases	365,000
Sales	600,000
Cash	228,000

The balance with which the trial balance would agree is

A. Rs 1,170,000
B. Rs 1,325,000
C. Rs 1,535,000
D. Rs 1,690,000

8. Afifa Traders trades computers. The business sold furniture to Maheen Sons on credit.

In the books of Afifa Traders, the journal that will include the given transaction is

A. cash book.
B. sales journal.
C. general journal.
D. purchase journal.

9. The document that the seller issues for the goods returned by the customer is known as

A. invoice.
B. debit note.
C. credit note.
D. statement of account.

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10. The transaction that would be treated as 'contra transaction' while preparing the cash book is

    A. cheque deposited in the bank.
    B. cheque issued to the supplier.
    C. cheque received from customer.
    D. direct deposit by a customer in the bank.

11. Mr Aleem upon completion of an official trip, was asked by the finance department to submit all the bills along with payment vouchers. He was also asked to deposit the balance amount in the company's bank account to settle the travel advance account.

    The source document that will be submitted to finance department by Mr Aleem, along with the voucher, is

    A. cheque.
    B. pay in-slip.
    C. payment counterfoil.
    D. copy of advance cheque.

12. Saleem has opened a departmental store. In order to keep the track of all the liabilities, assets and capital, he would like to know the balances of various accounts after every transaction.

    The MOST appropriate type of ledger that will serve Saleem's purpose is the

    A. skeleton form.
    B. standard form.
    C. statement form.
    D. self-balancing form.

13. Mr Salman prepared the petty cash book and submitted it to the head cashier. After examining the book, the head cashier issued a cheque for replenishment of petty cash fund.

    The general entry for replenishment of the petty cash fund in the books of the business will be

	Debit	**Credit**
A	petty cash fund	bank
B	bank	petty cash expense
C	bank	petty cash fund
D	petty cash expense	bank

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14. Ms Aamna purchased a machine worth Rs 150,000 with credit term 2/10, n/30.

    If the payment is made on the 15th day, then the amount in journal entry will be

    A. Rs 135,000
    B. Rs 147,000
    C. Rs 150,000
    D. Rs 153,000

15. A comparison of bank records of Fattani Associates revealed the following:

    - Unpresented cheques Rs 32,000
    - Uncollected cheques Rs 98,000
    - Dishonoured cheques Rs 20,000

    At the end of the month, the bank statement showed an overdraft of Rs 3,000.

    The adjusted bank balance as per Fattani Associates would be

    A. Rs (43,000)
    B. Rs (49,000)
    C. Rs 63,000
    D. Rs 69,000

16. Amin Trader have a favourable bank balance, this means that the business has

    A. overdraft balance in bank statement.
    B. debit balance in bank statement.
    C. debit balance in cash column of the cash book.
    D. debit balance in bank column of the cash book.

17. On reconciling the bank statement and bank column of the cash book, it was found that the bank has wrongly deducted the amount of Rs 5,500 from the account.

    To find the actual bank balance the amount should be

    A. added to the balance of cash book.
    B. subtracted from the balance of cash book.
    C. added to the balance of bank statement.
    D. subtracted to from the balance of bank statement.

18. An inexperienced accountant wrongly entered purchase of Rs 20,000 on account in the books as Rs 2,000.

    The given error will be classified as an error of

    A. omission.
    B. principle.
    C. commission.
    D. original entry.

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19. It is a temporary account that is used to transfer the amounts till the actual head of account is not determined.

The given description BEST describes a/ an

A. contra account.
B. control account.
C. expense account.
D. suspense account.

20. The following details have been extracted from the trial balance of Baba Traders

- Prepaid advertisement Rs 25,000
- Prepaid salaries Rs 15,000

If the adjusting data shows a prepaid advertisement expense of Rs 2,000, then the adjustment entry will be

	Particulars	P.R.	Debit	Credit
A	Prepaid advertisement		8,000	
	Advertisement expense			8,000
B	Advertisement expense		8,000	
	Prepaid advertisement			8,000
C	Prepaid advertisement		2,000	
	Advertisement expense			2,000
D	Advertisement expense		2,000	
	Prepaid advertisement			2,000

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21. A store employee's bought 10 cartons of apple juices for Rs 480 each but by mistake he recorded the purchases as Rs 840 each.

In the books of the store, the given error will result in a/ an

A. decrease in cost of sales.
B. decrease in gross profit.
C. increase in net profit.
D. increase in sales.

22. The pre-closing trial balance of a business showed prepaid advertisement of Rs 25,000.

If at the end of the year prepaid advertisement amounted to Rs 12,000, then in the financial statements, the advertisement will appear as

	Income Statement	Statement of Financial Position (Balance Sheet)
A	advertisement expense 12,000	prepaid advertisement 25,000
B	advertisement expense 13,000	prepaid advertisement 12,000
C	advertisement expense 12,000	advertisement prepaid 13,000
D	advertisement expense 13,000	prepaid advertisement 25,000

23. In a ten column worksheet, the amount of net loss will appear in the

A. debit column of income statement.
B. credit column of the statement of financial position (balance sheet).
C. credit column of income statement.
D. debit column of the adjusted trial balance.

24. An accountant wrongly recorded an item on the debit side instead of the credit side. This is classified as an error of

A. omission.
B. principle.
C. commission.
D. original entry.

25. As per the income statement, 'opening inventory + purchases – purchase discount + transportation-in' is used to calculate the

A. gross profit.
B. net purchases.
C. cost of goods sold.
D. cost of goods available for sale.

26. Al-Meezan Corporation purchased a paper binding machine for Rs 100,000. The business incurred the following expenses on the machine.

- 3-years fire insurance premium Rs 15,000
- Dismantling cost of old machine Rs 20,000
- Toll cost paid on purchase of machine Rs 15,000
- Replacement cost of a component to increase the efficiency Rs 10,000

The cost of machine purchased will be recorded in the books of Al-Meezan at

A. Rs 100,000
B. Rs 120,000
C. Rs 145,000
D. Rs 160,000

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27. On January 01, 2019, Alpha Trade purchased a machine at a cost of Rs 165,000. The estimated life of the machine is 10 years and the accounting year of the business ends of March, 31 each year.

    The amount of depreciation for the year ended March 31, 2019 by sum of the year digit method would be

    A. Rs 7,500
    B. Rs 15,000
    C. Rs 22,500
    D. Rs 30,000

Use the given information to answer Q.28 and Q.29.

The following details have been extracted from the books of Daniyal Brothers as on December 31, 2018.

S. No.	Account Title	Amount (Rs)
1	Machine	350,000
2	Allowance (provision) of depreciation	150,000

On this date Daniyal Brothers decided to exchange this machine with a new one. The cost of new machine is Rs 400,000 and the agreed trade in allowance (provision) of old machine is Rs 100,000.

28. The amount of cash to be paid by Daniyal Brothers at the time of exchange would be

    A. Rs 100,000
    B. Rs 200,000
    C. Rs 300,000
    D. Rs 400,000

29. On the exchange of machine, Daniyal Brothers would have a

    A. loss of Rs 100,000
    B. loss of Rs 150,000
    C. gain of Rs 100,000
    D. gain of Rs 150,000

30. The amount calculated by subtracting the allowance (provision) for depreciation from the cost of a non-current (fixed) asset is known as

    A. book value.
    B. depreciation.
    C. salvage value.
    D. residual value.

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